Taihan Fiberoptics (010170 KS)

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Breaking through the bottleneck

Not Rated (I)

Target price	- (I)
Previous target price	-
Current price (Sep 01)	W13,310
Upside potential	-

Market cap (Wbn)	2,070
Shares outstanding	155,485,660
Avg daily T/O (2M, Wbn)	148
Avg daily volume (2M, shrs)	10,875,332
52-week high/low (won)	29,100 / 1,079
Foreign ownership (%)	2.20%
Dividend yield (%)	0.00%
Major shareholders	TFO Industry & others

Stock performance

(%)	1M	3M	12M
Absolute	56.0	(35.4)	1,133.5
Relative	36.8	(17.4)	1,079.1
Abs (US$)	62.1	(29.1)	1,154.5

The prepared seize the opportunity

The transition in CPO implementation from the conventional fiber-attach method to a detachable architecture is expected to accelerate optical fiber adoption. Even with CPO, fiber remains essential for inter-rack connectivity, providing justification for a valuation premium. We highlight Taihan Fiberoptics, as **AIDCs are driving not only growth in total fiber demand but also a simultaneous shift toward higher-fiber-count cables.**

Taihan Fiberoptics is Korea's only vertically integrated manufacturer capable of producing everything from optical preforms to finished optical cables in-house. It has also internalized the production of key materials, including silicon tetrachloride and helium gas used for rapid cooling during fiber drawing. This **provides a hedge against fluctuations in optical fiber ASPs, which can result in margin swings of approximately 200-300%p.** In addition, the company manufactures core preforms using the vapor axial deposition (VAD) method, which reduces gas-deposition losses and helps stabilize yields.

Its principal product lineup includes optical fiber (G.652D and G.657) and optical ground wire (OPGW). **Optical cable is the company's key growth driver.** Optical cables can be broadly divided into: 1) general-purpose cables; and 2) ultra-high-fiber-count cables, which are used in data centers. Previously, the company's most advanced product was 288-fiber ultra-high-fiber-count cable. **In 1Q26, however, it secured its first order for 864-fiber ultra-high-fiber-count cable. As this product contains approximately three times as many fiber cores as a 288-fiber cable, we expect the product mix to shift toward high-margin products, particularly when the technological premium is factored in.**

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	66	51.7	33.9	33.9	68
OP	6	TTB	566.0	566.0	5
Pre-tax net profit	7	TTB	79.3	79.3	
Net profit, CI	7	TTB	79.3	79.3	4
OPM (%)	9.7	TTB	+7.7 %pt	+7.7 %pt	7.9
NPM (%)	10.5	TTB	+2.7 %pt	+2.7 %pt	6.5

Note: CI = controlling interest, TTB = turn to black

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2025A	2026E	2027E	2028E
Sales	139	211	252	346
OP	-21	9	17	27
Net profit, CI	-28	9	13	21
P/E (x)	-4.6	232.1	153.7	96.5
P/B (x)	2.3	23.3	14.8	12.5
EV/EBITDA (x)	-14.1	143.0	107.5	71.5
ROE (%)	-52.1	11.2	11.8	14.0

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Demand in the optical fiber segment is particularly strong for low-loss fiber used in long-distance transmission. The export share of OPGW is also expected to increase. While the company's revenue previously centered on OPGW and power cables, demand from the US commercial AIDC market alone is now sufficient to support growth.

The company therefore warrants attention as Korea's AIDC market begins to take off. As the number of GPUs increases, parallel connection methods such as tensor parallelism (TP) and expert parallelism (EP) are becoming increasingly important. **There are concerns that wavelength-division multiplexing (WDM), which increases transmission capacity per fiber, could slow growth in optical cable volumes.** However, WDM increases capacity by using multiple wavelengths, while **current network demand is being driven by the need to connect GPUs in parallel**.

Unless DCI expands into links spanning thousands of kilometers, the number of optical cables should actually increase in Korea's AIDC environment, where inter-GPU connectivity is particularly important. In other words, **capacity expansion through WDM and growth in the number of connections through increased fiber counts will occur simultaneously**. **This makes 864-fiber ultra-high-fiber-count cable even more important. The relevant metric** is not the number of cables sold, but **the number of fiber cores supplied.** An 864-fiber cable provides approximately three times as much fiber as a 288-fiber cable. **Optical fiber prices are therefore directly linked to the company's revenue and serve as a key barometer of its earnings**.

Domestic sales provide the push, while North America provides the pull

The most notable aspect of the company's US order performance this year is whether **orders for 864-fiber ultra-high-fiber-count cable for the hyperscaler market translate into recurring business.** The company secured its first order for a US data center in February, followed by a second order in June. **These contracts are** particularly noteworthy because they are **long-term agreements (LTAs), rather than spot transactions. Investors should therefore watch whether the company's technological capabilities and track record translate into repeat orders.**

Excluding aluminum products, US exports accounted for approximately 30% of the company's revenue last year, and the company plans to raise this to 50% this year. **As of 2Q26, the order backlog of its telecom segment exceeded W70bn for the first time since 4Q19.** Meanwhile, Korea's optical fiber cable exports, a leading indicator, rose 14.4% MoM and 72.0% YoY in Jul 2026, indicating simultaneous improvements in demand and ASPs. According to CRU, rising demand for data center optical fiber in China has prompted Chinese manufacturers to repurpose general-purpose production lines for high-performance data center products. Chinese prices have surged from around $2.50 in November last year to more than $12 currently, the **steepest increase since Sep 30, 2019**.

Taihan's telecom cable division also supplies optical cables to Korea's three mobile carriers, who accounted for approximately one-third of its 2025 revenue, **and the company has maintained the largest share of Korea's telecom cable market by volume. With Korea's AIDC industry beginning to take off and ASPs also rising, we expect the company's benefits to become increasingly pronounced.**

All regions positive, an exceptional situation

While past profits were driven primarily by the US, we have confirmed that margins are now expanding across all regions, including the US. This is proven by the backlog trends of leading global optical communication firms. **As such, the company posted 2Q26 consolidated sales of W49.1bn (+17.8% YoY) and OP of W960mn (turning to profit YoY, OPM 2.0%)**. While spot transactions accounted for a high share of annual sales until last year, contract-based orders are expected to increase this year, which raises expectations for accelerating earnings growth. **The key focus is whether the YoY turnaround can be sustained into 2H26.**

Considering the three-four month lag between production and sales recognition upon delivery for export volumes, we expect the YoY turnround to continue, with steeper YoY profit growth in 2H26. Moreover, moving beyond orders for 864-core ultra-high-fiber-count cables in the power business, this year marks the start of a meaningful increase in the contribution of exports in the telecom division. Earnings visibility has increased given the firm's product mix centered on high-ASP products and favorable optical fiber selling prices.

Therefore, **we estimate consolidated sales at W65.7bn (+51.6% YoY) and OP at W6.37bn (turning to profit YoY, OPM 9.7%) for 3Q26, and consolidated sales at W210.6bn (+51.0% YoY) and OP at W9.14bn (turning to profit YoY, OPM 4.3%) for 2026**. Although valuation corrections persist across the optical communications sector, this is simply due to mass production timeline changes in CPO, and the direction of downstream demand remains unchanged. In the mid- to long term, the US Broadband Equity, Access, and Deployment (BEAD) program presents an additional profit source. We believe now is the time to focus on the company's solid fundamentals, backed by secured earnings visibility.

Taihan Fiberoptics: earnings and forecast (Wbn)

		1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E
Sales		**25.4**	**41.6**	**43.3**	**29.1**	**34.3**	**49.1**	**65.7**	**61.7**	**139.5**	**210.6**	**252.2**
Telecom		**14.5**	**21.1**	**30.3**	**15.6**	**17.0**	**30.8**	**44.1**	**47.2**	**81.4**	**139.0**	**165.8**
	Exports	8.9	15.6	21.8	9.8	12.1	24.6	35.3	39.4	56.1	111.4	150.7
	Domestic	5.6	5.5	8.5	5.8	4.9	6.2	8.8	7.7	25.3	27.6	15.1
Power		**10.9**	**20.6**	**13.0**	**13.6**	**17.3**	**18.3**	**21.6**	**14.5**	**58.0**	**71.6**	**86.3**
	Exports	2.8	11.5	5.7	6.5	7.0	10.0	11.4	8.9	26.5	37.2	51.1
	Domestic	8.1	9.0	7.3	7.1	10.3	8.2	10.2	5.6	31.5	34.4	35.2
By region	Exports	**11.7**	**27.1**	**27.5**	**16.3**	**19.0**	**34.6**	**46.6**	**48.3**	**82.6**	**148.6**	**201.8**
	Domestic	**13.7**	**14.5**	**15.8**	**12.9**	**15.2**	**14.4**	**19.0**	**13.4**	**56.8**	**62.0**	**50.4**
% YoY		***-22.7%***	***3.7%***	***-1.4%***	***-18.6%***	***34.9%***	***17.8%***	***51.6%***	***111.8%***	***-8.7%***	***51.0%***	***19.7%***
Telecom		***-17.6%***	***-6.0%***	***34.9%***	***-30.9%***	***17.1%***	***46.1%***	***45.4%***	***203.3%***	***-4.2%***	***70.8%***	***19.3%***
	Exports	*14.1%*	*0.4%*	*77.3%*	*-27.5%*	*35.3%*	*57.9%*	*61.6%*	*303.1%*	*14.1%*	*98.5%*	*35.3%*
	Domestic	*-43.0%*	*-20.5%*	*-16.4%*	*-35.9%*	*-11.9%*	*12.5%*	*3.9%*	*34.2%*	*-29.3%*	*9.2%*	*-45.2%*
Power		***-28.4%***	***15.9%***	***-39.5%***	***2.0%***	***58.4%***	***-11.2%***	***66.1%***	***6.8%***	***-14.4%***	***23.4%***	***20.6%***
	Exports	*-38.9%*	*95.0%*	*-33.0%*	*81.3%*	*146.5%*	*-13.0%*	*99.8%*	*37.2%*	*17.3%*	*40.5%*	*37.2%*
	Domestic	*-23.9%*	*-23.6%*	*-43.8%*	*-27.0%*	*27.6%*	*-8.8%*	*39.9%*	*-21.0%*	*-30.2%*	*9.1%*	*2.5%*
By region	*Exports*	***-5.6%***	***26.5%***	***32.2%***	***-4.8%***	***62.1%***	***27.7%***	***69.5%***	***197.3%***	***15.1%***	***79.9%***	***35.8%***
	Domestic	***-33.0%***	***-22.5%***	***-31.7%***	***-31.3%***	***11.5%***	***-0.8%***	***20.5%***	***3.8%***	***-29.8%***	***9.1%***	***-18.8%***
Sales mix (%)												
Telecom		**57.0%**	**50.6%**	**70.0%**	**53.4%**	**49.5%**	**62.7%**	**67.1%**	**76.5%**	**58.4%**	**66.0%**	**65.8%**
	Exports	35.1%	37.4%	50.4%	33.6%	35.2%	50.2%	53.7%	64.0%	40.2%	52.9%	59.8%
	Domestic	21.9%	13.1%	19.6%	19.8%	14.3%	12.6%	13.4%	12.6%	18.1%	13.1%	6.0%
Power		**43.0%**	**49.4%**	**30.0%**	**46.6%**	**50.5%**	**37.3%**	**32.9%**	**23.5%**	**41.6%**	**34.0%**	**34.2%**
	Exports	11.1%	27.7%	13.2%	22.2%	20.4%	20.4%	17.3%	14.4%	19.0%	17.7%	20.3%
	Domestic	31.9%	21.7%	16.8%	24.4%	30.1%	16.8%	15.5%	9.1%	22.6%	16.3%	14.0%
By region	Exports	**46.2%**	**65.1%**	**63.5%**	**55.8%**	**55.6%**	**70.6%**	**71.0%**	**78.3%**	**59.3%**	**70.6%**	**80.0%**
	Domestic	**53.8%**	**34.9%**	**36.4%**	**44.2%**	**44.4%**	**29.4%**	**29.0%**	**21.7%**	**40.7%**	**29.4%**	**20.0%**
OP		**-6.9**	**-2.8**	**-6.7**	**-5.0**	**-4.0**	**1.0**	**6.4**	**5.8**	**-21.4**	**9.1**	**16.6**
% YoY		***RR***	***RR***	***LW***	***LN***	***LN***	***TTB***	***TTB***	***TTB***	***LN***	***TTB***	***81.7%***
% OPM		-27.3%	-6.7%	-15.5%	-17.2%	-11.6%	2.0%	9.7%	9.4%	-15.4%	4.3%	6.6%

Note: RR = remain red, LW = loss widened, LN = loss narrowed, TTB = turn to black; Source: Yuanta Securities

Optical fiber: low loss



Source: company data, Yuanta Securities

Optical fiber: long-distance transmission



Source: company data, Yuanta Securities

Relationship between bandwidth and signal loss: Taihan's optical fiber products offer transmission capacity across the 1,285-1,625nm range

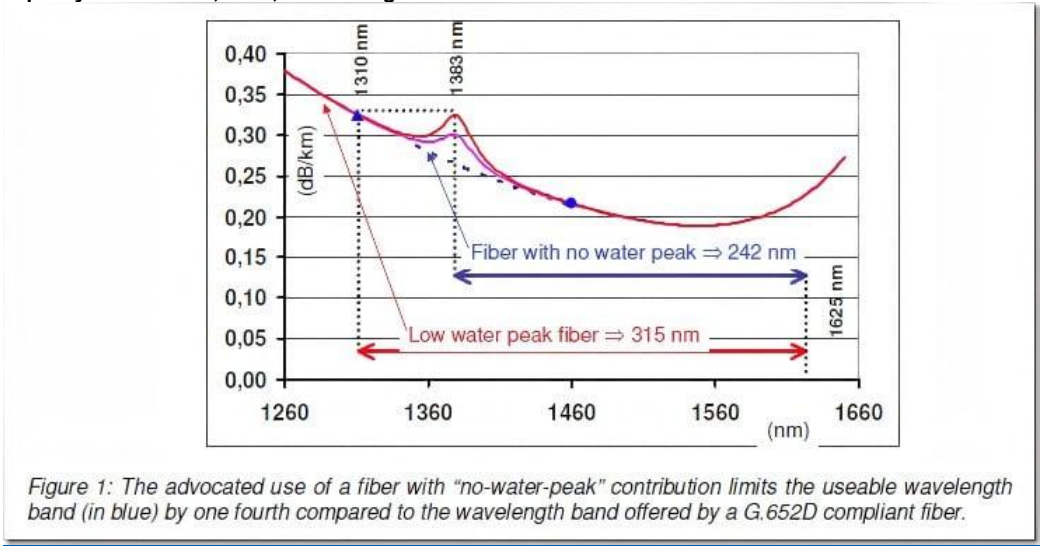
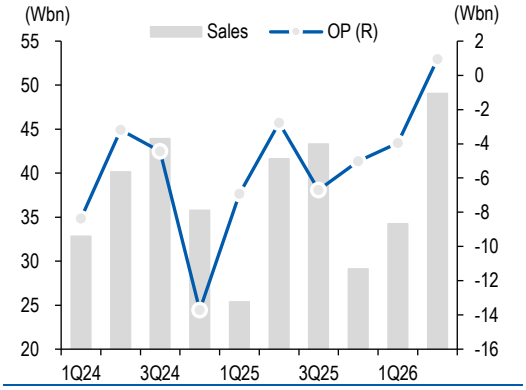


Figure 1: The advocated use of a fiber with "no-water-peak" contribution limits the useable wavelength band (in blue) by one fourth compared to the wavelength band offered by a G.652D compliant fiber.

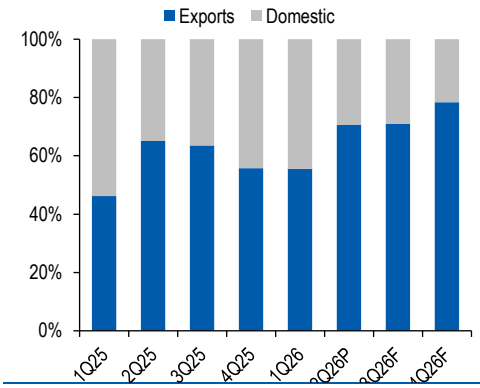
Source: Fibermall, Yuanta Securities

Quarterly sales and OP



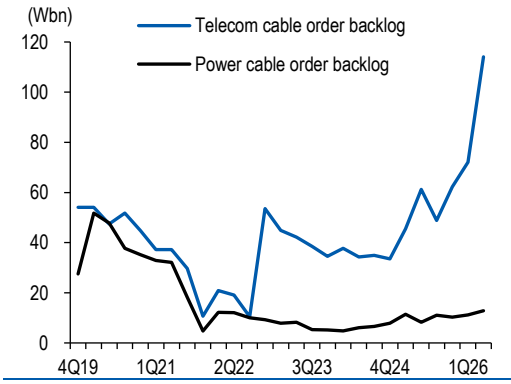
Source: Yuanta Securities

Quarterly sales mix



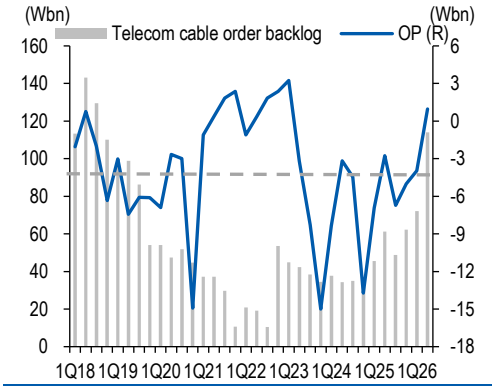
Source: Yuanta Securities

Quarterly order backlog by business



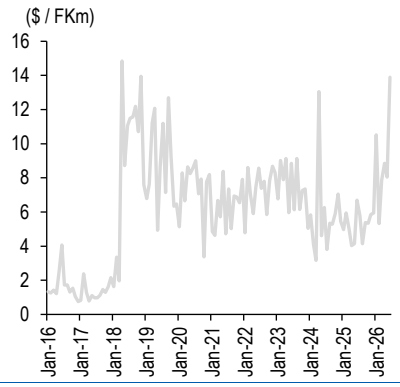
Source: company data, Yuanta Securities

Quarterly telecom cable order backlog and OP



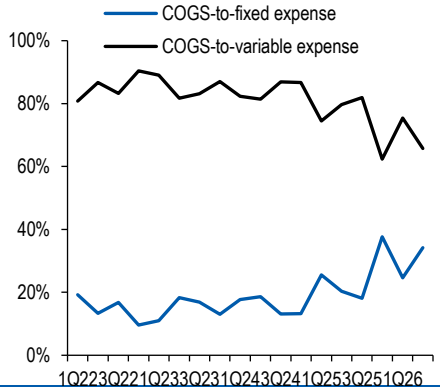
Source: company data, Yuanta Securities

CRU optical fiber price index



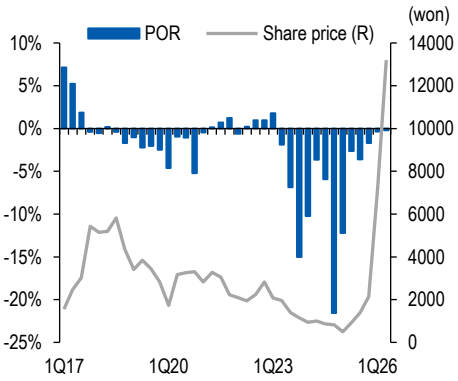
Source: WIND, Yuanta Securities

COGS-to-fixed expense is rising, creating potential for operating leverage



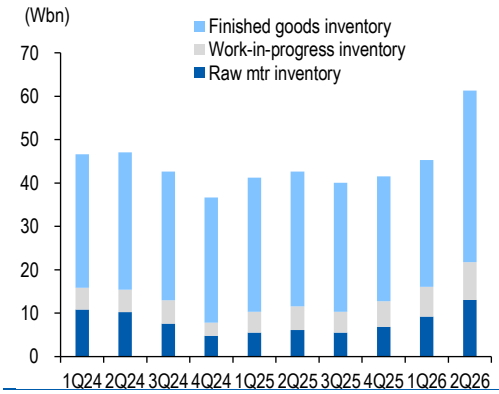
Source: company data, Yuanta Securities

Price-to-operating profit ratio (POR), share price



Source: FnGuide Quantiwise, Yuanta Securities

Quarterly inventory



Source: Bloomberg, Yuanta Securities

Taihan Fibeoptics: valuation table					(Wbn, $bn, EURmn, RMBmn)
		Taihan Fibreoptics	Corning	Prysmian	YOFC
Market cap		**2,007.0**	128.1	122.5	221.8
Sales	2025	**139.5**	15.6	19.7	14.3
	2026E	**210.6**	19.1	22.3	26.0
	2027E	**252.2**	22.8	24.8	34.0
	2028E	**346.5**	27.1	26.8	40.3
OP	2025	**-21.4**	2.3	1.9	1.6
	2026E	**9.1**	4.1	2.1	7.9
	2027E	**16.6**	5.3	2.6	11.6
	2028E	**26.7**	7.1	3.0	13.0
OPM	2025	**-15.4%**	14.6%	9.7%	11.0%
	2026E	**4.3%**	21.7%	9.6%	30.5%
	2027E	**6.6%**	23.3%	10.6%	34.1%
	2028E	**7.7%**	26.1%	11.4%	32.4%
Net profit, CI	2025	**-28.0**	1.6	1.3	0.8
	2026E	**6.3**	2.9	1.4	7.4
	2027E	**15.3**	3.8	1.8	10.8
	2028E	**4.4**	5.2	2.2	11.9
P/E (x)	2025	**-71.8**	80.9	19.5	43.4
	2026E	**318.8**	44.9	87.4	30.1
	2027E	**130.9**	33.5	67.3	20.6
	2028E	**458.6**	24.7	55.4	18.6
P/S (x)	2025	**14.4**	8.2	6.2	15.6
	2026E	**9.5**	6.7	5.5	8.5
	2027E	**8.0**	5.6	4.9	6.5
	2028E	**5.8**	4.7	4.6	5.5
SPS (won)	2025	**16,652.4**	19.3	68.5	17.3
	2026E	**15,510.2**	23.6	77.8	31.6
	2027E	**18,567.5**	28.2	86.6	41.4
	2028E	**25,513.8**	33.6	93.4	49.0

Note: market cap is based on Sep1, 2026 close prices; Source: Bloomberg, Yuanta Securities

Taihan Fiberoptics (010170 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**153**	**139**	**211**	**252**	**346**
Cost of sales	149	136	169	205	278
Gross profit	3	4	41	47	69
SG&A	33	25	32	31	42
Operating profit	**-30**	**-21**	**9**	**17**	**27**
EBITDA	-22	-16	15	20	30
Non-operating profit	-25	-6	-1	-2	-5
Forex gains	-2	1	5	4	0
Net interest income	-7	-6	-5	-5	-5
Equity-method gains	0	0	0	0	0
Other	-16	0	0	0	0
Net prof before income tax	-55	-27	8	15	22
Income tax	1	1	0	1	0
Net profit from continuing ops	-56	-28	9	13	21
Net profit from discontinued ops	0	0	0	0	0
Net profit	-56	-28	9	13	21
NP for controlling interest	**-56**	**-28**	**9**	**13**	**21**
Total comprehensive income	-35	-24	13	18	26
Total comprehensive income, CI	-35	-24	13	18	26

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**101**	**100**	**135**	**194**	**240**
Cash & cash equivalents	9	10	17	54	47
Accounts receivables & other	36	30	36	45	61
Inventory	41	45	68	82	112
Non-current assets	109	119	120	121	127
Tangible assets	101	103	97	94	91
Investment in affiliates	1	1	1	1	1
Other investment assets	5	15	21	25	34
Total assets	**210**	**219**	**255**	**315**	**367**
Current liabilities	145	130	139	140	157
Accounts payable & other	27	31	41	43	59
ST financial liabilities	88	84	84	84	84
Liquid LT liabilities	2	13	11	9	9
Non-current liabilities	24	22	27	35	44
LT financial liabilities	13	8	8	12	12
Debentures	0	0	0	0	0
Total liabilities	**169**	**152**	**167**	**175**	**201**
Equity, controlling interest	41	67	89	140	166
Paid-in capital	37	66	66	66	66
Capital surplus	35	20	20	20	20
Retained earnings	-53	-45	-28	19	40
Equity, non-controlling interest	0	0	0	0	0
Total equity	**41**	**67**	**89**	**140**	**166**
Net debt	**107**	**83**	**74**	**40**	**43**
Total debt	130	106	103	106	106

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**-24**	**-12**	**-9**	**0**	**-9**
Net profit	-56	-28	9	13	21
Depreciation & amortization	8	6	6	3	3
Forex gains	0	0	0	0	0
Affiliate investment gains	0	0	0	0	0
Increase in net working cap	-3	9	-23	-15	-32
Other	27	1	-1	-1	-1
Investing cash flow	**16**	**-8**	**-13**	**-10**	**-20**
Investment	0	0	-7	-4	-9
Increase in tangible assets	-5	-1	0	0	0
Decrease in tangible assets	0	0	0	0	0
Other	21	-7	-6	-6	-11
Financing cash flow	**0**	**21**	**29**	**34**	**32**
ST financial liabilities	27	-16	0	0	0
Debenture/LT financial liabilities	-20	-9	-3	2	0
Equity	-32	14	0	0	0
Cash dividend	0	0	0	0	0
Other cash flow	25	32	32	32	32
Consolidation adj and other	0	0	-1	13	-10
Increase in cash & equivalents	**-8**	**1**	**7**	**37**	**-7**
Beginning cash & equivalents	16	9	10	17	54
Ending cash & equivalents	9	10	17	54	47
NOPLAT	-30	-22	**9**	**17**	**27**
FCF	**-29**	**-13**	**-9**	**0**	**-9**

Valuation

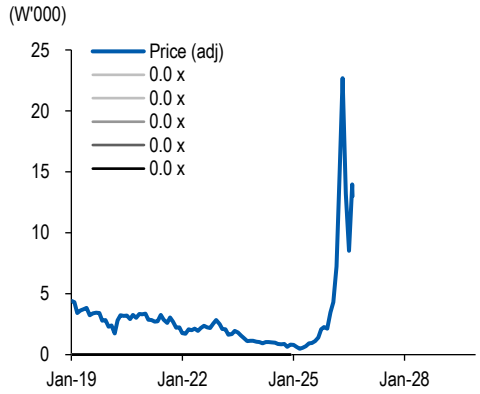
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	-669	-242	57	87	138
BPS (won)	488	491	571	901	1,067
EBITDA/shr (won)	-264	-136	99	126	190
SPS (won)	1,824	1,209	1,390	1,622	2,228
DPS (won)	0	0	0	0	0
P/E (x)	**-1.4**	**-4.6**	**232.1**	**153.7**	**96.5**
P/B (x)	**1.9**	**2.3**	**23.3**	**14.8**	**12.5**
EV/EBITDA (x)	**-8.6**	**-14.1**	**143.0**	**107.5**	**71.5**
P/S (x)	**0.5**	**0.9**	**9.6**	**8.2**	**6.0**

Key financial data

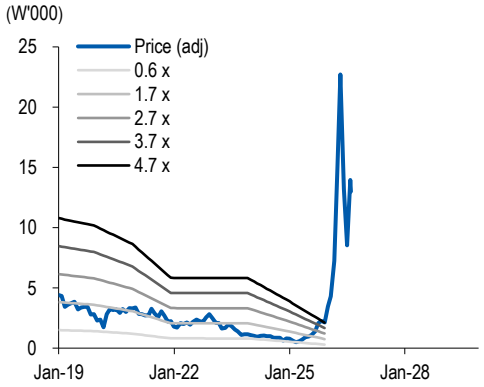
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**-15.3**	**-8.7**	**51.1**	**19.7**	**37.4**
Operating profit (%YoY)	**RR**	**RR**	**TTB**	**81.7**	**61.0**
Net profit, CI (%YoY)	**RR**	**RR**	**TTB**	**54.9**	**59.2**
Gross margin (%)	2.2	2.6	19.6	18.8	19.8
Operating margin (%)	**-19.5**	**-15.4**	**4.3**	**6.6**	**7.7**
Net margin, CI (%)	-36.7	-20.1	4.1	5.3	6.2
EBITDA margin (%)	-14.5	-11.2	7.1	7.8	8.5
ROIC (%)	-20.6	-14.8	9.0	10.4	16.8
ROA (%)	-25.2	-13.1	3.7	4.7	6.3
ROE (%)	**-95.9**	**-52.1**	**11.2**	**11.8**	**14.0**
Debt-to-equity (%)	413.5	228.6	187.7	124.9	121.3
Net debt-to-equity (%)	262.7	123.8	83.9	28.8	26.0
OP/financing cost (x)	-3.6	-3.1	1.5	2.7	4.4

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

P/E band chart



P/B band chart



Taihan Fiberoptics (010170 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/09/07	Not Rated	-	1 yr		
2026/09/02	Not Rated	-	1 yr		

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.7
HOLD	3.3
SELL	0
Total	100.0

Note: As of Sep 07, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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